

**SUBSTITUTE FOR
HOUSE BILL NO. 5936**

A bill to amend 1994 PA 451, entitled
"Natural resources and environmental protection act,"
by amending section 1307 (MCL 324.1307), as amended by 2018 PA 631.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 1307. (1) By the processing deadline, the department
2 shall approve or deny an application for a permit.

3 (2) If requested by the permit applicant, the department shall
4 extend the processing period for a permit by not more than 120
5 days, as specified by the applicant. If requested by the permit
6 applicant, the department may extend the processing period beyond
7 the additional 120 days. However, a processing period ~~shall~~**must**
8 not be extended under this subsection to a date later than 1 year
9 after the application period ends.



(3) A processing period is tolled from the date that a permit applicant submits a petition under section 1315(1) until the date that a decision of the director is made under section 1315(6). If a permit applicant submits a petition under section 1315(1), the department shall not approve or deny the application for the permit under subsection (1) until after the director issues a decision under section 1315(6).

(4) ~~The approval or denial of~~ **department shall approve or deny** an application for a permit ~~shall be in writing. and shall~~ **The approval or denial must** be based ~~upon~~ **on** evidence that would meet the standards in section 75 of the administrative procedures act of 1969, 1969 PA 306, MCL 24.275, **and the department shall cite to the applicable statutory basis for the determination.**

(5) Approval of an application for a permit may be granted with conditions or modifications necessary to achieve compliance with the part or parts of this act under which the permit is issued.

(6) ~~A denial of~~ **If** an application for a permit **is denied** or, for a permit under part 301 or 303, ~~an approval~~ **the application for the permit is approved** with modification, ~~of an application for a permit shall~~ **the denial or approval with modification must** document, and any review upholding the denial or modification ~~shall~~ **must** determine, to the extent practical, all of the following:

(a) That the decision is based on specifically cited provisions of this act or rules promulgated under this act.

(b) That the decision is based ~~upon~~ **on** sufficient facts or data, ~~which~~ **that** are recorded in the file.

(c) To the extent applicable, ~~all~~ **both** of the following:

(i) That the decision is the product of reliable scientific



1 principles and methods.

2 (ii) That the decision has applied the principles and methods
3 reliably to the facts.

4 (d) In the case of denial of an application for a permit under
5 part 301 or 303, suggestions on changes to allow the permit to be
6 approved.

7 (7) Except for permits described in subsection (8), if the
8 department fails to satisfy the requirements of subsection (1) with
9 respect to an application for a permit, the department shall pay
10 the applicant ~~an amount equal to 15% of the greater of the~~
11 following, as applicable:

12 (a) The **total** amount of the application fee for that permit.

13 (b) If an assessment or other fee is charged on an annual or
14 other periodic basis by the department to a person ~~holding that~~
15 **holds** the permit for which the application was submitted, the **total**
16 amount of the first periodic charge of that assessment or other fee
17 for that permit.

18 (8) If the department fails to satisfy the requirements of
19 subsection (1) with respect to a permit required by section 11509,
20 11512, 30304, or 32603, the application ~~shall be~~ **is** considered ~~to~~
21 ~~be~~ approved and the department ~~shall be~~ **is** considered to have made
22 any determination required for approval.

23 (9) The failure of the department to satisfy the requirements
24 of subsection (1) or the fact that the department is required to
25 make a payment under subsection (7) or is considered to have
26 approved a permit under subsection (8) ~~shall~~ **must** not be used by
27 the department as the basis for discriminating against the
28 applicant. If the department is required to make a payment under
29 subsection (7), the application ~~shall~~ **must** be processed in sequence



1 with other applications for the same type of permit, based on the
2 date on which the processing period began, unless the director
3 determines on an application-by-application basis that the public
4 interest is best served by processing in a different order.

5 (10) If the department fails to satisfy the requirements of
6 subsection (1) with respect to 10% or more of the applications for
7 a particular type of permit received during a quarter of the state
8 fiscal year, the department shall immediately devote resources from
9 that program to eliminate any backlog and satisfy the requirements
10 of subsection (1) with respect to new applications for that type of
11 permit within the next fiscal quarter.

12 (11) If the department fails to satisfy the requirements of
13 subsection (1), the director shall notify the appropriations
14 committees of the senate and house of representatives of the
15 failure. The notification ~~shall~~**must** be in writing and ~~shall~~
16 include both of the following:

17 (a) An explanation of the reason for the failure.

18 (b) A statement of the amount the department was required to
19 pay the applicant under subsection (7) or a statement that the
20 department was required to consider the application to be approved
21 under subsection (8), as applicable.

22 Enacting section 1. This amendatory act does not take effect
23 unless all of the following bills of the 103rd Legislature are
24 enacted into law:

25 (a) House Bill No. 5937.

26 (b) House Bill No. 5938.

27 (c) House Bill No. 6038.

